

**Before the
FEDERAL MARITIME COMMISSION
Washington, DC 20573**

Docket No. No. 1966(I)

**TCW, INC., Claimant,
v.**

EVERGREEN SHIPPING AGENCY (AMERICA) CORPORATION, Respondents

**AMICUS BRIEF OF THE WORLD SHIPPING COUNCIL
IN SUPPORT OF RESPONDENTS**

Pursuant to 46 C.F.R. § 502.73 and the Federal Maritime Commission’s (“Commission”) Order for Supplemental Briefing dated April 26, 2021 in the above-referenced docket, the World Shipping Council (“WSC”), through its undersigned counsel, files this amicus curiae brief in support of Respondents Evergreen Shipping Agency (America) Corp. and Evergreen Line Joint Service Agreement (“Respondents”).

In the Initial Decision (“I.D.”), dated February 19, 2021, the Small Claims Officer (“SCO”) held that Respondents violated the U.S. Shipping Act, 46 U.S.C. § 41102(c), by charging motor carrier TCW (“Claimant”) per diem during a scheduled three-day port closure after 21 days of free time on a container and 4 days of free time on a chassis had already expired. In its April 26, 2021 Order, the Commission asked the parties to brief three distinct issues on review. As an amicus curiae, WSC limits its comments to the two related questions 2(a) and 2(c). Question

2(a) seeks parties' views on: "what acts or omissions are alleged to be unreasonable." Question 2(c) asks: "whether those acts or omissions are unreasonable. Regarding reasonableness, the Commission is particularly interested in arguments regarding application of the interpretive rule on demurrage and detention."

Questions 2(a) and 2(c) are factually and legally related, because it is impossible to make a determination about reasonableness under 46 U.S.C. § 41102(c) without first understanding the factual circumstances that are challenged as unreasonable, and every case must be decided on its own merits. The Commission made that point clear in its final Interpretive Rule on Demurrage and Detention, 85 Fed. Reg. 29665, 46 C.F.R. § 545.5 (May 18, 2020) (the "Interpretive Rule"):

The Commission emphasized that although the factors in the proposed rule would guide its analysis, 'each section 41102(c) case would continue to be decided on the particular facts of the case.' The application of the 'incentive principle,' the Commission reiterated, would 'vary depending on the facts of a given case.' Moreover, the Commission specified that the illustrations of how the factors might apply in the NPRM were subject to 'extenuating circumstances.' In other words, the Commission would consider any additional or countervailing arguments or evidence raised by the parties in a particular case.

85 Fed. Reg. 29641.

We are confident that the Commission will follow its own consistent precedent and settled principles of administrative law in reviewing this case on its particular facts. At the same time, WSC understands from the Order for Supplemental Briefing that the Commission recognizes that there are important policy implications for this case, particularly given that this is the first opportunity the Commission has had to apply its recently adopted Interpretive Rule.

We respectfully urge the Commission not to be tempted to “stretch” this case beyond its facts to try to make broader policy or new rules relating to detention and demurrage practices. The facts in this case present a situation in which the challenged charges were reasonable and lawful, judged under longstanding Commission precedent governing both 46 U.S.C. § 41102(c) and its predecessor, section 10(d)(1) of the Shipping Act of 1984.

1. Commission question 2(a): “What acts or omission are alleged to be unreasonable?”

The record is clear about the behavior that Claimant alleges violates section 41102(c). The claim is based on three days’ worth of per diem charges for one container and the chassis on which that container was mounted. Those three days fell over a Saturday-Monday period from May 23-25, 2020 (Memorial Day weekend) during which the Port of Savannah (“Port”) was closed. The Port’s schedule was publicly known from at least March 2, 2020, before Respondent Evergreen-Principal issued its sea waybill to the shipper (Yamaha). See Initial Decision (I.D.) at 9-10, numbered paragraphs 24-27; I.D. at 8, para. 7. The first day for which per diem charges are challenged (May 23) fell three days *after* free time ended for the container and 21 days *after* free time had expired for the chassis. I.D. at 10, paras. 28, 29. Finally, Claimant admitted that the container and chassis were not available for the Claimant to pick up from the shipper’s facility until May 23, again after the expiration of free time. I.D. at 10, para. 33. There is no allegation that Respondents in any way caused the delay in Claimant’s return of the chassis and container, and the shipper reimbursed the Claimant for the charges, plus a mark-up added by the Claimant. I.D. at 11, paras. 36-38.

Based on these “Pertinent Facts Established by the Record” (I.D. at 8-10), the Complaint alleges that it is unreasonable to collect a per diem charge on days when the return port is in a scheduled closure where:

1. Free time for the equipment expired before the days on which the port was closed;
2. The Port’s open and closed days were publicly announced in advance of the trucker’s acceptance of the load;
3. The applicable free time provisions negotiated by the commercial parties involved clearly provided that all calendar days counted against free time; and
4. The Claimant admitted that the cause of the late return was the inability of the shipper to make the equipment available for return, not any fault of the carrier or the port, and the shipper fully reimbursed the Claimant for the charges.

As discussed in the section that follows, these facts do not constitute an unreasonable practice on the part of the Respondents within the meaning of 46 U.S.C. § 41102(c).

2. Question 2(c): The Relevant Conduct in this Case Is Reasonable.

a. The SCO’s Decision is Inconsistent with Longstanding Commission Precedent Under 46 U.S.C. 41102(c) and Predecessor Section 10(d)(1) of the Shipping Act.

Under the facts described immediately above in section 1, the SCO held that it was unreasonable and a violation of 46 U.S.C. 46 41102(c) for Respondents to invoice per diem for certain weekend days and holidays when the port was closed. To assess whether the SCO erred, it is necessary to examine how the Commission has previously applied 46 U.S.C. § 41102(c) and its predecessor, Section 10(d)(1) of the Shipping Act of 1984. The Commission has

held that “reasonable” may mean or imply “just, proper,” “ordinary or usual,” “not immoderate or excessive,” “equitable,” or “fit and appropriate to the end in view.” Distribution Services., Ltd. v. Trans-Pacific Freight Conference of Japan and its Member Lines, 1988 WL 340659, at *6 (citing Port of San Diego, 9 F.M.C. at 547)). The Commission has further held that a “‘just and reasonable practice’ most appropriately means a practice, otherwise lawful but not excessive and which is fit and appropriate to the end in view.” River Parishes Company, Inc. v. Ormet Primary Aluminum Corp., 1999 WL 125991 at *24 (citing West Gulf Maritime Ass’n v. Port of Houston Auth., 21 F.M.C. 244, 18 S.R.R. 783 (1978)).

Importantly, the Commission has evaluated reasonableness in a commercial context, stating that parties should be afforded “discretion to exercise business judgment,” including “when imposing [] fees.” Ceres Marine Terminals, Inc. v. Maryland Port Admin., 29 S.R.R. 356, 369, 372 (FMC 2001) (“The Commission is not responsible for ensuring that everybody makes a good deal – just that the commercial environment is not hampered by unreasonable or unjustly discriminatory practices.”). *See also* Maher v. PANYNJ, 33 S.R.R. at 853 (noting that the Commission defers to commercial parties’ “reasonable, discretionary business decisions.”) (citing Seacon Terminals, Inc. v. Port of Seattle, 26 S.R.R. at 899). In the Interpretive Rule, which was adopted to provide guidance to the industry on detention and demurrage practices, the Commission said it wanted to make sure that any such guidance “was flexible enough to . . . allow for innovative commercial solutions to commercial problems.” 85 Fed. Reg. at 29639.

In the I.D., the SCO not only failed to analyze the facts in a commercial context in line with applicable precedent, the SCO made no mention of that precedent at all. Instead, the I.D.

relied entirely on the Interpretive Rule adopted by the Commission last year. This alone is reversible error, because the Commission made clear that the adoption of the Interpretive Rule did not create new legal precedent or binding commitments on ocean carriers under 46 U.S.C. §41102(c):

There are no ‘requirements’ or mandates or dictates in the rule for an ocean carrier to violate. In other words, one cannot bring an action based on the rule alone – the basis for any legal action would be section 41102(c). Similarly, the rule does not subject regulated entities to any new legal authority. They were already subject to section 41102(c)’s requirement that their practices be “just and reasonable.”

85 Fed. Reg. at 29642 (emphasis added). Given that the Commission has made it clear that existing law under section 41102(c) remains applicable and the basis for proper Commission decision-making, the SCO’s failure to apply that law mandates reversal.

In addition to failing to apply the relevant law, the SCO made no attempt to discuss all of the relevant facts. For example, the SCO mentions, but does not discuss or analyze, several critical commercial and industry factors such as: (1) the Respondents granted the claimant 21 days of free time for the container and 4 days of free time for the chassis, and neither period was challenged by the complainant as unreasonable, (2) the Respondents’ customer (Yamaha, the shipper) designated the Claimant as its preferred motor carrier, (3) Claimant freely signed the “Preferred Trucker Arrangement” with Respondent, which required Claimant to be a signatory to the UIIA and the Evergreen Addendum, and which obligated the Claimant to pay per diem after free time had expired, (4) the allotted free time for the container expired four days *before* the port’s scheduled weekend and holiday closure, meaning Claimant could have

taken action to avoid per diem charges by returning the equipment when it was contractually obligated to do so, and (5) the Claimant asserted that it was the shipper's delay in making the container and chassis available for return – not any fault of the carrier or the port – that caused the Claimant to return the equipment late.

As discussed in more detail below, the SCO brushed over these commercially relevant facts (and others described in section 1 of this brief) and proceeded directly to a single-factor analysis – whether the per diem charges incentivized the return of the equipment. The SCO's failure to evaluate the totality of the circumstances and the reasonableness of Respondent's acts in a commercial context directly conflicts with applicable Commission precedent and improperly second-guesses the freely undertaken business arrangements of sophisticated commercial parties.

To be clear, it is not enough for the SCO to have simply recited these facts in the I.D. To withstand scrutiny on review, the SCO must address these facts, identify the applicable law, and then provide a reasoned analysis of whether the conduct in question is reasonable in light of that law. The SCO's failure to do so renders the I.D. arbitrary and capricious and contrary to law. Courts routinely invalidate agency determinations that fail to “examine the relevant data and articulate a satisfactory explanation for [the] action including a ‘rational connection between the facts found and the choice made.’” Motor Vehicle Mfrs. Ass'n v. State Farm Mut. Auto. Ins. Co., 463 U.S. 29, 43 (1983) (quoting Burlington Truck Lines v. United States, 371 U.S. 156, 168 (1962)). When reviewing that determination, courts must “consider whether the decision was based on a consideration of the relevant factors and whether there has been a

clear error of judgment.” *Id.* In general, the Supreme Court noted that an agency decision is arbitrary and capricious “if the agency has relied on factors which Congress has not intended it to consider, entirely failed to consider an important aspect of the problem, offered an explanation for its decision that runs counter to the evidence before the agency, or is so implausible that it could not be ascribed to a difference in view or the product of agency expertise.” *Id.* In this case, there is no indication that the SCO considered all relevant factors in the decision, and the analysis in the I.D. does not show a rational connection between the facts and applicable law. This renders the decision arbitrary and capricious on its face.

b. The SCO Erred by Relying Solely on the “Incentive Principle” and Failing to Consider All Relevant Factors in a Reasonableness Determination.

In ignoring applicable Commission precedent, the entire analysis in the I.D. is based on the “incentive principle” contained in the Interpretive Rule. That too, by itself, is reversible error. The SCO compounded the error of relying solely on the incentive principle by incorrectly equating the incentive principle with a simplistic and rigid rule that a per diem charge applicable on a day on which the return port was scheduled to be closed is *per se* unreasonable. That interpretation is nowhere to be found in the Interpretive Rule and, in this case, that interpretation turns the incentive principle on its head by providing an incentive to cargo interests to hold equipment longer, not to promptly return it.

We discuss first the SCO’s error in relying solely on the incentive principle in its reasonableness analysis. We then discuss the point that, even if the incentive principle were the only relevant consideration, the I.D. misapplied that principle to this case.

WSC's comments in the rulemaking leading to the issuance of the Interpretive Rule expressed a concern that sole reliance on the incentive principle would make any subsequent reasonableness analysis unbalanced and inconsistent with the "totality of the commercial circumstances" approach that the Commission has typically applied to unreasonable practices claims. The Commission responded to that concern by making clear in the final Interpretive Rule that future cases would not be decided solely on the basis of the incentive principle. For example, the Commission made the following important clarifications in direct response to the issues raised by WSC and other stakeholder comments:

- (1) that the Incentive Principle was in fact not the sole factor that would be considered, and that the compensatory aspect of detention and demurrage charges could be considered as part of the reasonableness determination (85 Fed. Reg. at 29652) ("As noted above, however, the rule does not preclude ocean carriers and marine terminal operators from arguing and producing evidence regarding the compensatory aspects of demurrage and detention in individual cases.");
- (2) that the rule did not create any new legal requirements (85 Fed. Reg. at 29642) ("The rule does not, however, have 'legal effect' within the meaning of the *American Mining* test. The rule could not be the basis for a Commission enforcement action or a private party reparation action. There are no 'requirements' or mandates or dictates in the rule for an ocean carrier to violate.); and
- (3) that parties to a complaint case at the FMC were free to raise any facts, arguments, and evidence they chose in defense against a claim of unreasonableness (85 Fed. Reg. at 29647) ("Nor is issuing guidance inconsistent with case-by-case adjudication, especially when the Commission expressly states that it will continue to consider all arguments raised in an individual case.").

In addition, the preamble to the final Interpretive Rule repeatedly states that the factors listed in the rule that might be relevant in any particular complaint case are "a non-exclusive list of factors that the Commission may consider." See, e.g., 85 Fed. Reg. at 29639 ("Consequently, instead of prescribing practices that ocean carriers and marine terminal operators must adopt

or avoid, the Commission's proposed rule was a non-exclusive list of factors that the Commission may consider when assessing the reasonableness of demurrage and detention practices under 46 U.S.C. 41102(c)); *id.* at 29639 ("The rule consists of a *non-exclusive* list of *factors* for the Commission to consider when determining whether demurrage and detention practices are "just and reasonable" under 46 U.S.C. 41102(c) (emphasis in original). The rule explicitly states that "it does not prescribe specific practices that regulated entities must adopt." *Id.* at 29644. To expand on these points, the final Interpretive Rule added a new subsection (f) at the end that was not in the proposed rule. That new subsection reads as follows:

"(f) *Non-Preclusion*. Nothing in this rule precludes the Commission from considering factors, arguments, and evidence in addition to those specifically listed in this rule."¹

46 C.F.R. § 545.5(f).

Under the guidance in the Interpretive Rule, the question of whether application of a charge serves as an incentive to the shipper or trucker to pick up the cargo or return the equipment is only the first step in the analysis. If the party responsible for returning the equipment on time (i.e., either the shipper or trucker) can avoid the charge by taking some action prior to the expiration of allotted free time, the charge will be considered reasonable. If the party responsible for returning the equipment is not afforded an opportunity to return the equipment before charges apply, and the charge does not otherwise incentivize cargo pick-up

or equipment return, then “absent extenuating circumstances” the rule states that the charge is “likely to be found unreasonable.” 85 Fed. Reg. 29655. In evaluating such “extenuating circumstances,” the Commission said it must consider all “factors, arguments, and evidence in addition to those specifically listed” in the Interpretive Rule.

This is the analysis as described by the Interpretive Rule. But the I.D. makes clear that the SCO’s analysis began and ended with the incentive principle, without consideration of any other factors. *See, e.g.*, I.D. at 21 (“Of note, that section provides that “in assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.”); 25 (“As noted by Claimant, Section 545.5 provides in pertinent part: In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.”), 25 (“The Commission explained in the NPRM that practices imposing demurrage and detention charges are incapable of incentivizing cargo movement, such as when a trucker arrives at a marine terminal to retrieve a container but cannot do so because it is in a closed area or the port is shut down, might not be reasonable.”). The SCO’s conclusion on the merits was likewise based solely on the incentive principle. *See id.* at 25-26 (“Therefore, I find that the per diem charges imposed by Respondents from May 23rd to May 25th were unreasonable because they could not have incentivized cargo movement given that the port was closed on those days, making it impossible for Claimant to return the equipment.”).

c. **The SCO Improperly Applied the Incentive Principle from the Final Interpretive Rule.**

In addition to the fact that the I.D. improperly relied solely on the incentive principle, the SCO also failed to apply the incentive principle aspect of the Interpretive Rule correctly – an error within an error. Specifically, the I.D. makes clear that the SCO viewed the incentive principle as mandating that charging per diem on weekends when the port was scheduled to be closed is unreasonable, without actually analyzing the facts of the case to determine how those facts would affect the incentive for timely return of equipment. *See* I.D. at 25-26 (“Therefore, I find that the per diem charges imposed by Respondents from May 23rd to May 25th were unreasonable because they could not have incentivized cargo movement given that the port was closed on those days, making it impossible for Claimant to return the equipment.” (emphasis added)). If the Commission had intended to create the rigid rule that the SCO applied – i.e., that no equipment charge is valid if charged on a day the port is closed – the Commission could have clarified that in the Final Interpretative Rule. It did not do so, and therefore such a rule cannot control this case.

Instead of the “no charges on closed days” rule relied upon by the SCO, the Commission on review must look at the incentive question from a commercial and operational perspective in light of the underlying relationships involved in this case. Under the facts here, there most certainly was an incentive for Claimant to return the equipment on time to avoid a financial penalty. Claimant picked up the equipment on April 28, and free time on the container expired on Thursday May 19 – four days before the port was scheduled to be closed on the weekend

and the Memorial Day holiday. Free time on the chassis expired much earlier. The Claimant knew the terminal was scheduled to be closed on weekends and holidays before it even picked up the loaded container from the port for delivery to the shipper. To avoid being charged per diem over Memorial Day weekend, the Claimant was therefore incentivized to return the equipment during the week before the port was closed. The SCO completely ignored these facts.

The fact that all parties were on notice of the scheduled port closure days well in advance of the transportation in this case is determinative. The Commission in the Interpretive Rule noted that factors weighing in favor of unreasonableness with respect to empty container return include “uncommunicated or untimely communicated changes in container return, or uncommunicated or untimely communicated notice of terminal closures for empty containers.” 85 Fed. Reg. at 29655. If someone is not aware of a closure or change in schedule, then that person cannot change behavior in response to that information. But when all parties have advance notice and therefore the ability to plan, the incentive to meet equipment return deadlines is clear. That incentive remains the same whether or not closed port days are counted, because the party returning the equipment knows that there is a cost to pay if the equipment is not returned by the deadline.

A critical flaw in the I.D.’s approach to incentives is that it looks at each day in isolation, and the SCO concludes there can be no incentive to return equipment if it is not possible to do so on a particular day. But that view completely ignores the fact that knowing in advance that a charge will be imposed on scheduled closed day most emphatically does provide an incentive to

return the equipment *before* the closed day. Indeed, the incentive is all the more powerful because it will not be possible to return the equipment when the scheduled closures actually arrive. This real-world aspect of the incentives involved in this case is not even acknowledged, much less considered, by the SCO in the I.D.

When applying the incentive principle to these facts, the Commission must ask itself this question about the result that the SCO reached: How does it incentivize the prompt return of equipment if the Claimant knows that charges will not apply on an upcoming weekend and holiday when the terminal is closed? A hard rule that ocean carriers are not permitted to charge per diem on weekends and holidays when terminals are closed would, in many cases, incentivize the shipper or trucker responsible for returning the equipment to hold the equipment even longer, particularly if the last day of free time expires on or close to a day before the terminal is closed. Especially under current conditions where warehouses are crowded and truck power and driver hours of service are sometimes scarce, if a party knows that its financial exposure for additional detention or per diem charges is limited by a regulation, that fact will influence its commercial and operational decisions. For example, if a beneficial cargo owner knows that an FMC regulation will give that cargo owner extra free days after the expiration of contractual free time, the owner will have an incentive to keep that container at its facility for extra storage if it is not able to process the cargo in the container through its warehouse or distribution center. Thousands of such individual decisions across the supply chain will combine to cause more congestion, precisely the opposite result than is intended from a proper set of incentives and regulations.

As a more specific example, faced with returning two containers before free time expires, one with a Wednesday last day of free time and one with a Friday last day, a trucker that only has the capacity to move one container will move the one due on Wednesday if charges cannot be levied on closed weekend days, because the “Friday” container would benefit from regulatory free time mandated by the FMC. Under the rule in the I.D., there would be no incentive to return the equipment on Friday if the trucker knows that it cannot be charged for Saturday-Monday based on a Commission rule. Therefore, the rule from the I.D. would only serve as a disincentive to the shipper or trucker to return the equipment on time. Such an outcome cannot be squared with a reasoned application of the “incentive principle.” The perverse result of the rule announced by the SCO illustrates that the reasoning of the I.D. does not reflect a proper section 41102(c) reasonableness analysis, but rather an attempt by fiat to impermissibly disregard definite, transparent, and reasonable contractual terms and replace those contract terms with a regulatory reallocation of risk and cost. Section 41102(c) does not give the Commission that authority.

We offer one final point about reasonableness. The record is clear that the Claimant was reimbursed by the cargo owner (Yamaha) for the challenged per diem charges – and indeed for all of the charges incurred with respect to the subject container and chassis. The Claimant in fact billed and received from Yamaha more than Claimant was billed by Respondent, presumably a mark-up to cover administrative expenses. Yamaha, whose cargo was involved and which the record indicates was slow to release the equipment from its facility, has not challenged the charges. We do not have direct record evidence about what Yamaha’s

assessment of the situation was, but the fact that it paid the charges makes it more likely than not that Yamaha did not think that the charges were unreasonable under these circumstances. The commercial assessment of the cargo owner, therefore, appears to have been that the charges were reasonable and justified.

When regulatory intervention in the name of “reasonableness” upsets a commercial outcome that two of the parties (Evergreen and Yamaha) supported, and which commercial outcome gave the third party (TCW) more money than the regulatorily imposed “reasonable” outcome, that is a strong signal to question the regulatory result. In a case about commercial reasonableness, the I.D.’s outcome is anything but commercially reasonable. If the Commission decides to upset the commercial outcome in this particular case, it must ask itself what policy and legal choice it is making, and it must explain the legal and factual basis for any such decision.

d. If the Commission Reaches “Extenuating Circumstances,” those Circumstances Favor Respondents.

The points above addressing the application of the incentive principle and the reasonableness of the challenged charges are dispositive of the case. The charges clearly had an incentivizing purpose and effect, including during the three-day scheduled closure of the port. That is the case because the charges encouraged the Claimant, already beyond free time, to return the container and chassis before the scheduled closure. The Claimant failed to respond to that incentive, but that choice does not make the incentive any less real.

Because the case can and must be decided in favor of Respondents at this first stage of the reasonableness analysis, there is no need for the Commission to examine “extenuating circumstances” that would be relevant if there were a facial indication of unreasonableness flowing from the “incentive” prong of the analysis. In the interest of completeness, however, WSC discusses two factors below that the Interpretive Rule groups under the category of “extenuating circumstances.”

The first factor relates to Respondents’ arguments to the SCO that there is a compensatory purpose to detention and demurrage charges in addition to the incentive purpose. In the case of detention or per diem charges applicable to equipment, the compensation is of two types. First, detention charges applicable after the expiration of free time provide some compensation for the direct purchase or lease cost of the equipment, which carries a capital or lease cost whether that equipment is gainfully employed or (as here) sitting at the shipper’s warehouse.

The other compensatory element – arguably the more important of the two – is lost opportunity cost. Like ships, containers and chassis only create revenue when they are moving. If the actions of a trucker or shipper take a chassis or container out of commission by holding that equipment beyond the allotted free time, then the equipment is not available to carry another shipper’s cargo and generate revenue for the carrier. It is worth noting that while such opportunity costs are typically understood to disadvantage the carrier, in today’s market in which U.S. imports are at historic highs and have overwhelmed the intermodal system, the opportunity cost associated with unreturned equipment also falls on shippers – U.S. importers

and exporters – who are waiting for that equipment to move their goods. Under the current conditions where there is more demand for equipment than there is supply, the incentive principle and opportunity cost merge into one reality: equipment that is not moving harms everyone.

With respect to the compensatory aspect of the challenged charges, the SCO failed to conduct the necessary analysis or to give that factor any weight. After acknowledging Respondents' arguments about the compensatory purposes of detention/per diem, the I.D. dismissed them out of hand and incorrectly stated that "[t]he Commission dismissed similar arguments from comment during the rulemaking for section 545.5 that demurrage and detention serve a function of compensating for costs associated with the equipment. The Commission stated in the Final Rule that imposition of per diem to cover operational costs is not a reasonable basis for imposition of demurrage and detention charges." See I.D. at 26. Respectfully, that is not what the Commission said in the Interpretive Rule. To the contrary, as noted above, the Commission clearly said the Interpretive Rule "does not preclude ocean carriers and marine terminal operators from arguing and producing evidence regarding the compensatory aspects of demurrage and detention in individual cases." 85 Fed. Reg. at 29652.

Given that the I.D. simply dismissed Respondents' compensatory cost arguments out of hand, there can be no question that the SCO failed to factor these arguments into the analysis or decision, thus rendering that analysis and decision contrary to law. See Motor Vehicle Mfrs. Ass'n v. State Farm Mut. Auto. Ins. Co., 463 U.S. 29, 42–52 (1983); Public Citizen, Inc. v. FAA,

988 F.2d 186, 197 (D.C. Cir. 1993) (“The requirement that agency action not be arbitrary or capricious includes a requirement that the agency adequately explain its result.”).

The SCO also mentioned, but similarly glossed over, another critically important “extenuating circumstance” in this case. Namely, the Claimant readily admitted that the cause of delay in returning the equipment on time was because the equipment was stuck at the shipper’s plant. See I.D. at 24, 25 (“Claimant explains that the per diem charges were imposed despite Claimant’s ‘best attempts to work with the BCO and ensure cargo and equipment . . . moved as fluidly as possible,’ and despite the fact that Claimant could in no way have returned the equipment sooner as the BCO’s plant was shut down due to COVID-19.”). There is no analysis in the I.D. of how it is reasonable under these circumstances to hold an ocean carrier responsible for costs when the cause of delay was the responsibility of either the shipper or the trucker. In other words, under these specific facts, this is not a situation where the failure to return the equipment on time was caused by the ocean carrier, or even a “no-fault” force majeure situation where no party was responsible.² The Claimant freely acknowledges the delay was not the carrier’s fault. Under these facts, what kind of policy – and under what authority – would the Commission be setting if it excused the shipper or trucker for these causes of delay, and nonetheless required the carrier to absorb the associated costs resulting

² Citing the Interpretive Rule, the SCO erroneously equates the facts in this case with a “no fault” situation, stating “[i]f demurrage cannot act as an incentive for cargo and equipment fluidity because, for instance a marine terminal is closed for several days due to a storm, charging demurrage in such a situation, even if a container is already in demurrage, raises questions as to whether such demurrage practices are tailored to their intended purpose in accordance with section 41102(c).” I.D. at 27 (emphasis added).

from the delay? The SCO's failure to properly analyze and address this critical factor is plain error.

e. Conclusion.

The SCO's determination in the I.D. suffers from numerous flaws. First, it ignores prior FMC precedent by failing to analyze the reasonableness of the challenged charges in a commercial context and failing to afford deference to the business judgement of sophisticated commercial parties. Second, it misapplies the Commission's Interpretive Rule by analyzing the facts in this case under a single factor (the incentive principle), and failing to take into account other relevant factors, arguments, and evidence. Third, the SCO's application of the incentive principle is itself flawed, because that application does not in fact examine the commercial incentives at play, but instead simply equates the incentive principle with a strict rule that no per diem can be collected if the port is closed. That creates an impermissible irrebuttable presumption that is inconsistent with both the Interpretive Rule and 46 U.S.C. § 41102(c).

By translating the incentive principle into a rule that says that it is always unreasonable to charge per diem on weekends and holidays when a terminal is closed, the SCO's decision, if not reversed, would set a dangerous precedent that would only incentivize shippers and truckers to keep equipment longer, rather than return equipment promptly to promote fluidity in the supply chain. That would be both bad law and bad policy. On review the Commission must independently analyze these particular facts and perform a thorough and proper reasonableness analysis. When the Commission undertakes that analysis in light of its Interpretative Rule, in a commercial context set against industry standards, the only decision on

appeal that can withstand judicial scrutiny is that it is in fact reasonable for an ocean carrier to charge a trucker per diem with full notice and transparency, after an agreed upon period of free time has expired, on a weekend or holiday when the port had been scheduled to be closed. The Initial Decision must be reversed.

Respectfully submitted,



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CERTIFICATE OF SERVICE

I hereby certify that I have this 2nd day of June, 2021, served a true and correct copy of the foregoing Amicus Curiae Brief in Support of Respondents upon all parties identified below via electronic mail:

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